

Subject: FW: R&J Hodge Investment
Date: Tuesday, December 5, 2023 at 12:57:37 PM Central Standard Time
From: Cheryl Mullin
To: Richard Hodge, Albert Bustos
Attachments: image001.png, image002.png, image003.png

Richard and Albert,

Lani finally called me this morning, then sent the following email.

She said that prior to my involvement, there was an agreement that all of the franchise agreements would be renewed on the new form of agreement with whatever negotiated changes were agreed on. This is different from the language of a few of the prior franchise agreements, but the parties can always agree otherwise.

She said the intent was to get all of the franchise agreements on the same form with the same expiration dates.



Cheryl L. Mullin, JD, LLM (Taxation)
Shareholder at Mullin, PC

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From: Lani Binnie <lbinnie@authoritybrandsllc.com>
Sent: Tuesday, December 5, 2023 1:42 PM
To: Cheryl Mullin <cheryl.mullin@MRKPC.com>
Subject: RE: R&J Hodge Investment

Hi Cheryl:

Thanks for taking my call. As we discussed, below are the terms that we understood to be agreed upon by the parties. I look forward to hearing from you after you have had the opportunity to review. Thank you.

1. Complete Assignment of Randall Gardner's ownership interests prior to (or concurrently) with renewal Franchise Agreements.
2. All legal and financial responsibility to be assigned to Albert Bustos which requires an operating agreement that would appoint Albert Bustos as the sole manager and CEO of Richard's Electrical Operating companies RJH and RGRH.
3. Renewal Franchise Agreement: Current form, including term length of 10 years for all Territories.
4. A/R true up for Ft. Worth location (which has been serviced from the Dallas location) will need to be completed – amount is \$104,141.19 (as of August 2023)
5. A/R True up for Albert Bustos: C000001232 Incredible Electric, LLC Albert Bustos: \$18,328.21 (as of August 2023)
6. A/R True up for Albert Bustos: C000003016 Bustos Investments, LLC Albert Bustos: \$112,918.96 (as of August 2023)
7. Any applicable Transfer Fees for ownership updates made in conjunction with the renewal will be waived.
8. Royalty Fee: 6%
9. Personal Guarantee, Non-compete, and General Release will need to be signed by both Richard Hodge and Albert Bustos.
10. Customer Data – we will amend current form agreement to provide co-ownership rights in the Customer Data
11. Telephone Numbers – we will amend current form agreement to provide co-ownership rights in the Telephone Numbers
12. Website - we amend to allow continued use of websites if previously utilized in operating the Franchised Business
13. Successware – if Franchisee is not currently using Successware, we will provide amended language re: the transition timing and requirements once the Successware platform's features are made available

Lani Binnie (*Pronounced La-nee*)
Legal Counsel

*Authority Brands Legal Department: **Business Minded. Solution Focused.***



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From: Lani Binnie
Sent: Wednesday, November 22, 2023 1:59 PM
To: Cheryl Mullin <cheryl.mullin@MRKPC.com>
Subject: RE: R&J Hodge Investment

Hi Cheryl:

Thank you for your email and I'm so sorry to hear about your husband. I did want to touch base with you and let you know we have received your email and are reviewing internally. I will be back in touch next week.

Sending you and your family all the best.

Warm Regards,

Lani Binnie (*Pronounced La-nee*)
Legal Counsel

*Authority Brands Legal Department: **Business Minded. Solution Focused.***



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From: Cheryl Mullin <cheryl.mullin@MRKPC.com>
Sent: Friday, November 17, 2023 7:30 AM
To: Lani Binnie <lbinnie@authoritybrandsllc.com>
Subject: R&J Hodge Investment

Hi Lani,

I apologize if I missed something. My husband is struggling with very serious medical issues and I've been in the hospital with him for the past four weeks.

Here is my understanding though of where we are:

1. MS0135, MS0137, MS0155, and MS0156 – four franchises owned by Bustos Investments, LLC. These aren't due for renewal until 2024. I also understand that a default situation exists which we can address separately.
2. MS0093 – franchise owned by Incredible Electric, LLC which expired in 2019.
 - a. To be renewed in the name of the same franchisee.
 - b. The third amendment to franchise agreement (attached) reflects that the renewal agreement will be the same as the original agreement.
3. MS0046 – franchise owned by R&J Hodge Investments, LLC which expired in 2019.
 - a. To be renewed in the name of the same franchisee.
 - b. The fifth amendment to franchise agreement (attached) reflects that the renewal agreement will be the same as the original agreement.
4. MS0110, MS0125, MS0131, MS0132, MS0133, MS0134, MS0136, and MS 0138 (all under a single franchise agreement) – franchises owned by RGRH Home Services, Inc.
 - a. To be renewed in the name of the same franchisee
 - b. The first amendment to franchise agreement (attached) preserves the negotiated amendments
 - c. Parties need to complete the assignment and assumption agreement that you prepared in 2022 (to be signed upon renewal per the parties' agreement)
 - d. Territory description will remain the same per the first amendment and parties' agreement
 - e. Need to preserve other negotiated terms per the first amendment, including continued use of Service Titan until agreed on conditions are met. (These are detailed in the attached email from Dan Mock, and need to be fleshed out in an amendment).

- f. As you are aware, Albert Bustos is now the manager of R&J Hodge Investments, LLC and RGRH Home Services, LLC, and will be signing on behalf of those entities.
- 5. These are the sticking points as to all of the renewals:
 - a. Agreement to reflect that franchisor and franchisee “co-own” customer data
 - b. Tailoring of the noncompete agreements
 - i. To limit the definition of noncompete to residential electrician services, i.e., services provided to customers who live in their homes,” and exclude “electrical contracting services associated with new construction and remodeling services.”
 - ii. To limit the in term noncompete to the franchisees’ territories, within 25 miles of the perimeter of their territories, and in the territories of other franchisees, but to exclude areas where there are no other MISTER SPARKY businesses.



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